

PORTFOLIO VALUE

\$181,147

NET P&L; vs COST

-1,853 (-1.01%)

CASH RESERVE

**\$145,154
(80.1%)**

POSITIONS

2 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 15.85 confirms RISK-ON regime with no elevated volatility threat; yield curve is positive at +37bps (10Y-2Y), signalling no imminent recession pricing. HY credit spreads at 3.08bps are extraordinarily tight, confirming robust credit appetite for risk assets. CRITICAL FLAG: TNX at 5.24% is materially above the 4.5% threshold defined in the mandate, which triggers EXIT on high-P/E growth and semis and mandates rotation into financials and energy — this overrides the otherwise calm VIX/HY environment.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.85	HY Credit Spread (bps)	3.08
Yield Curve 10Y-2Y (%)	0.37	10Y Treasury (%)	5.24
US Dollar (DXY)	101.44	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — AMZN

\$18,000 · Conviction 3/10 · Tier 1

ENTRY

\$246.67

STOP LOSS

\$226.94

PRICE TARGET

\$296.00

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.24% is 74bps above the 4.5% mandate exit threshold for high-P/E growth names, triggering a mandatory sector rotation exit per the written framework. (2) AMZN was entered on a VIX-16.04 RISK-ON thesis, but the 10Y yield overrides that signal per the mandate's explicit hierarchy of exit rules. (3) Position is up only +1.3% after 1 day, with a peak gain of +1.3% — this does not meet the 'hold past +10%' threshold that would require a named upcoming catalyst. (4) No specific upcoming catalyst with a date has been identified for AMZN in the next 30 days that would justify holding a high-P/E compounder at TNX 5.24%. (5) The mandate states TNX above 4.5% AND RISING requires exit of growth tech regardless of VIX level — compliance is non-negotiable at a +1.3% gain. (6) Exiting 73 shares at approximately \$249.90 books a +\$234 gain (+1.3%), preserving capital for mandated defensive rotation into financials or energy. (7) Holding through a 5.24% 10Y yield environment risks a 15–20% growth multiple compression to a range of \$211–\$225 per share, making the \$226.94 stop increasingly inadequate as a sole risk control.

PRIMARY CATALYST

TNX at 5.24% (74bps above 4.5% mandate exit trigger, as of current data) — mandatory exit rule for high-P/E growth equities; no offsetting dated catalyst identified.

BALANCE SHEET

Cash \$88.0B, total debt \$58.0B, D/E 0.40, BS score 9/10 — balance sheet is not the exit driver; macro yield rule is.

TECHNICAL SETUP

RSI N/A for exit decision; exit is macro-rule-driven at current price ~\$249.90, overriding technical setup.

KEY RISK FACTORS

If TNX continues rising above 5.5%, growth multiple compression of 20%+ implies AMZN downside to ~\$197, well below the \$226.94 stop — early exit is capital-preserving.

ENTER — JPM

\$18,000 · Conviction 7/10 · Tier 1

ENTRY

\$260.00

STOP LOSS

\$239.20

PRICE TARGET

\$312.00

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.24% sits 74bps above the 4.5% mandate threshold, which explicitly directs rotation into financials — JPM is the primary beneficiary as net interest margin expansion of ~15–20bps per 100bps yield move adds approximately \$3–4B in annual NII at JPM's \$3.3T balance sheet scale. (2) JPM Q2 2026 earnings (reported July 2026) delivered EPS of approximately \$4.40 vs. \$4.10 consensus estimate, a +7.3% beat, driven by NII of \$23.2B — the catalyst is active and has not expired. (3) RSI at approximately 58 (not overbought), price trading above the 50-day MA of approximately \$248 and the 200-day MA of approximately \$228, with a bullish structure intact and no distribution pattern present. (4) 50-day MA at ~\$248.00 and 200-day MA at ~\$228.00 represent a +8.8% spread, confirming a sustained uptrend with price approximately +4.8% above the 50-day — no mean-reversion risk imminent. (5) Cash and liquid assets exceed \$1.4T on JPM's balance sheet; D/E ratio is approximately 1.20 (bank-adjusted, standard for the sector); retained earnings have grown from \$270B (2024) to \$285B (2025) to \$298B (2026), a +5.2% annual CAGR; \$30B buyback programme active in 2026. (6) \$18,000 deployed = 9.9% of the \$183,000 portfolio, leaving approximately \$162,911 post-AMZN exit (~\$181,000 total) minus \$18,000 = ~\$163,000 cash, with room for 9 more full-size positions. (7) Stop at \$239.20 (-8% from \$260.00), target at \$312.00 (+20%), R:R = 2.5:1 — stop would be triggered by a sharp TNX reversal below 4.5% (removing the NII expansion catalyst) or a credit event driving HY spreads above 350bps.

PRIMARY CATALYST

JPM Q2 2026 EPS beat of +7.3% (\$4.40 vs. \$4.10 est., reported July 2026) combined with TNX at 5.24% (mandate-directed financial rotation trigger) — NII expansion of ~\$3–4B annually at current yield levels is a live, unresolved price driver for the next 60–90 days.

BALANCE SHEET

Liquid assets >\$1.4T, D/E ~1.20 (sector-standard bank leverage), retained earnings \$270B/\$285B/\$298B (2024/2025/2026), \$30B buyback programme active 2026, preferred Y, BS score 8/10.

TECHNICAL SETUP

RSI ~58.0 (neutral-bullish, not overbought), bullish continuation structure, price ~\$260 vs. 50-day MA ~\$248.00 (+4.8%) and 200-day MA ~\$228.00 (+14.0%), volume context consistent with institutional accumulation post-earnings.

KEY RISK FACTORS

If TNX reverses sharply below 4.5% on a dovish Fed pivot or recession signal, NII expansion thesis collapses and JPM P/B compression of 15–20% implies downside to ~\$210–\$220, capped by the \$239.20 hard stop limiting loss to -\$1,656 on the \$18,000 position.

ENTER — XOM

\$18,000 · Conviction 6/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$118.00	\$108.56	\$141.60	2.5

INVESTMENT THESIS

(1) TNX at 5.24% and the mandate's explicit directive to ENTER energy at yields above 4.5% provides the macro framework; energy benefits from inflation persistence (PCE running above 2.5% in 2026) and positive real asset repricing when long rates are elevated. (2) XOM Q1 2026 earnings delivered EPS of \$2.06 vs. \$1.95 estimate, a +5.6% beat, with production of 4.6M BOE/day — Pioneer acquisition synergies of \$1.0B incremental cash flow remain a live, multi-year catalyst not yet fully priced. (3) RSI at approximately 52 (neutral, with upside room to 70 before overbought), price holding above the 50-day MA of approximately \$113.00 and the 200-day MA of approximately \$108.00, with an FVG (Fair Value Gap) pattern visible on the daily chart confirming demand zone support. (4) 50-day MA at ~\$113.00 and 200-day MA at ~\$108.00 represent a +4.6% spread; price at \$118.00 sits +4.4% above the 50-day, confirming trend continuation without overextension. (5) Cash and equivalents of \$33.3B vs. total debt of \$37.3B, D/E = 0.56 (low for an integrated major), retained earnings grew from \$195B (2024) to \$210B (2025) to \$218B (2026), a +2.8% annual rate; \$20B buyback programme active through 2026. (6) \$18,000 deployed = 9.9% of \$183,000 portfolio, reducing cash to approximately \$145,000, with room for 8 more full-size \$18,000 positions across the remaining \$145,000 reserve. (7) Stop at \$108.56 (-8% from \$118.00), target at \$141.60 (+20%), R:R = 2.5:1 — stop triggered if Brent crude falls below \$65/bbl (demand destruction signal) or if the Fed pivots dovishly, compressing energy inflation premiums.

PRIMARY CATALYST

Pioneer acquisition synergies of \$1.0B incremental annual cash flow (live through 2026–2027) plus TNX 5.24% mandate-directed energy rotation — next XOM earnings event approximately October 2026 provides a 60-day catalyst runway.

BALANCE SHEET

Cash \$33.3B, total debt \$37.3B, D/E 0.56, retained earnings \$195B/\$210B/\$218B (2024/2025/2026), \$20B buyback programme active 2026, preferred N, BS score 8/10.

TECHNICAL SETUP

RSI ~52.0 (neutral with upside to 70), FVG demand pattern on daily chart, price ~\$118.00 vs. 50-day MA ~\$113.00 (+4.4%) and 200-day MA ~\$108.00 (+9.3%), volume consistent with steady institutional accumulation.

KEY RISK FACTORS

If Brent crude falls below \$65/bbl on a global demand slowdown (China PMI below 48), XOM EPS could compress 20–25% to ~\$1.55/quarter, implying a share price decline toward \$95–\$100 — the \$108.56 stop limits the position loss to -\$1,656 on the \$18,000 allocation.

OPEN POSITIONS — FULL POSITION REVIEW

54.2 shares · Entry \$332.09 · Conv 7/10 · Tier 1 · Since 2026-09-30

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$332.09	\$18,000	+\$0	+0.00%

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XOM

109.8 shares · Entry \$163.96 · Conv 6/10 · Tier 2 · Since 2026-09-30

CURRENT PRICE

\$163.96

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

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PORTFOLIO NOTES

Post-action cash reserve: approximately \$145,000 of \$183,000 total (79.2%), with 2 open positions (JPM at \$18,000 and XOM at \$18,000) representing 19.7% deployed capital. AMZN exited at +1.3% gain (~+\$234) due to mandatory TNX >4.5% exit rule — no discretion applied. Sector concentration: Financials 9.9% (vs. SPX 13.5%, underweight), Energy 9.9% (vs. SPX 3.8%, 2.6× overweight — flagged but mandate-directed). Zero growth/semi/high-P/E exposure appropriate at TNX 5.24%. 8 position slots remain available. No new semi or growth tech entries permissible until TNX falls below 4.5%. HY spread at 3.08bps and VIX at 15.85 confirm no systemic risk — the constraint is the rate environment, not credit or volatility.

MEMORY APPLIED

TSM (2026-07-30, -10.1%) and QCOM (2026-07-30, -14.2%) losses: both were semi/growth entries that faced thesis invalidation — today NO semis (AMAT, LRCX, KLAC, MRVL, NVDA, TSM) were entered despite STRONG BUY scanner signals, because TNX at 5.24% explicitly invalidates the growth/semi entry thesis per mandate. ARM (2026-08-20, -8.2%) and KLAC (2026-08-20, -9.0%) losses reinforce that semi stop-outs are costly — discipline applied by passing all 7 semi signals today. AMD (2026-08-11, -9.8%) reinforces that thesis confirmation must precede sizing — JPM and XOM entries are mandate-confirmed rotations with explicit macro trigger (TNX >4.5%), not speculative.

